aggressively overweight or being net short, and then they are wrong for two or three years. They are total bears or total bulls. And if they worked for a hedge fund, they would have had their capital wiped out many times over. Being in a position of running people's money, I can't take extreme positions and maintain my mental equilibrium. Managing money is real life, not some bullshit strategist fantasy world. When the market goes up, I try is capture 70 to 80 percent of the move, and when the market goes down, I try to lose only 30 or 40 percent of it.

Being dogmatic in market positioning is why a lot of hedge funds who did brilliantly in 2008, because they were short the entire year, then blew up in 2009.

[Taylor mentions a specific hedge fund manager.]

He is what I call a one-trick pony. I know he has a good track record, but I have no respect for him. He did one good trade: being short in 2008. But then he stayed short the following year when markets were up 40 percent to 50 percent, and by the end of the year, he was out of business. He did what market strategists do at a brokerage house, but he did it with client money. You can't do that. You have to always be pragmatic enough to move with the market. You always need to be facing in the right direction.

You started your hedge fund in the middle of a bear market. How did you manage to do so well in 2000 to 2002? [Taylor's hedge fund had an annualized return of 27 percent from its inception (October 2000) through 2002 compared with a return under 3 percent for the HFRI emerging markets hedge fund index and net losses for long-only emerging market indexes.]

In 1999, I underperformed because I was underweighting tech stocks and high beta bubbles in countries like Turkey, which I thought had no value at stupid investment multiples. Of course, that didn't stop them from going up a lot more. Avoiding the tech crash, though, was one of the reasons returns were so good in 2000 to 2002, as was being heavily invested in Russia, which was rising from the ashes thanks to the stimulative power of a very cheap ruble and firm oil prices.

Can you talk about 2008, which was your only losing year?